

# We Believe There Are Specific Operational Improvement Opportunities at Huntsman

## Summary of Operational Improvement Opportunities

### Gross Profit Improvement

- In Polyurethanes, we believe the Company should abandon use of integrated margins, and separately measure profitability for its upstream and downstream businesses, making sure to account for upstream-to-downstream product transfers at market prices.
  - We believe measuring integrated margins skews the Company's view of product profitability, and may be masking poorly performing businesses or impeding the Company's pricing strategy.
- Significantly reduce contracts where price is tied to raw material indices, which diminishes the Company's ability to take advantage of favorable market changes, and eliminates the Company's ability to price for value – we don't believe the margin stability gained leads to higher cycle average profitability.
- Restructure sales force compensation to prioritize gross profit or contribution margin rather than revenue.
- Expand and empower the Company's strategic marketing function, and allow it to coordinate pricing, product innovation, and portfolio rationalization based on robust benchmarking, market, and customer data.
  - We believe the Company may retain a commodity cost-plus pricing strategy even for its newer differentiated downstream businesses.

### Operating Expenses

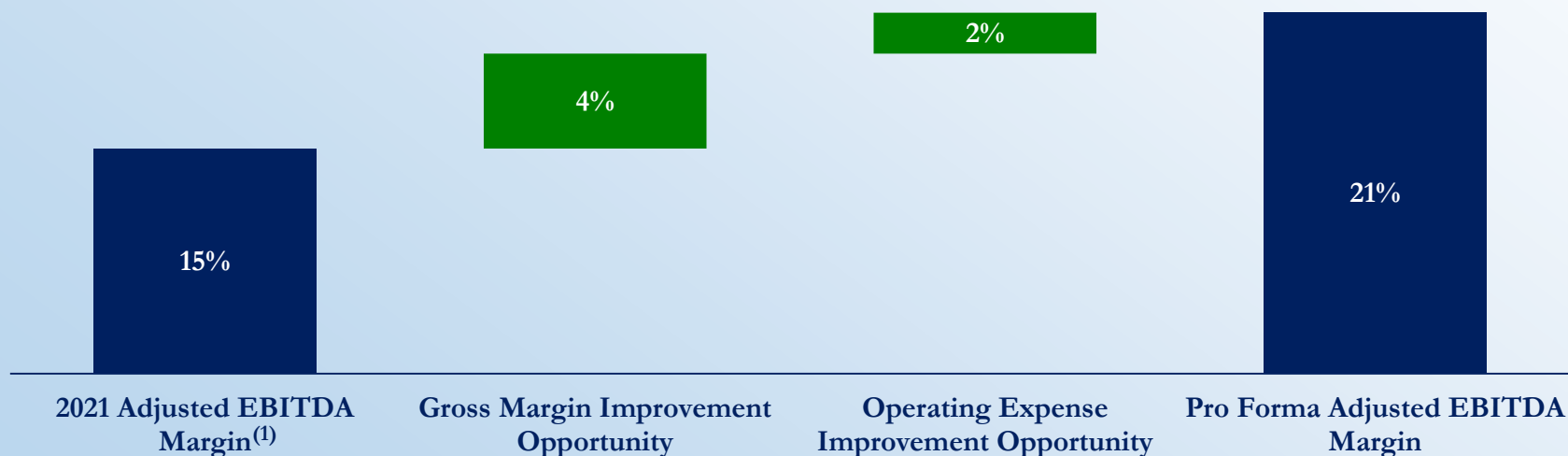
- We believe the Company should standardize its commercial structure around either geography or end market as we believe a matrixed approach leads to internal confusion and headcount duplication.
- Develop a robust R&D project development and screening process with input from sales, marketing, and manufacturing / supply chain in order to eliminate long-tail of low-probability R&D projects.
- Study and formulate a plan for relocating R&D headcount away from high-cost European countries.
- Explore further consolidation of ERP systems and data silos to reduce support function costs and accelerate decision-making.

# We Believe There Are Opportunities to Significantly Improve Adjusted EBITDA Margins

We believe that Huntsman can improve its Adjusted EBITDA margin by ~600bps on a run-rate basis.

- We believe there are attractive opportunities to improve commercial execution, and reallocate corporate resources, as well as streamline manufacturing, supply chain, and other operating expenses.

## Summary of Operational Improvement Opportunities



We believe significant value can be unlocked from operational improvements.

# In Summary, We Believe There Is an Opportunity to Create Substantial Value at Huntsman

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Huntsman shareholders deserve a strong, capable, and independent Board that will drive accountability and create value for all shareholders.

- Huntsman is a Company with highly attractive assets, strong market positions, and diverse product portfolios, innovative chemistries, and a difficult-to-replicate manufacturing footprint.
- Over many years, we believe the Company has repeatedly made attractive promises to shareholders only to ultimately fail to deliver.
- We believe the Board has also demonstrated continued poor governance and has consistently failed to hold management accountable.
- While the Board claims to have refreshed its members, based on actions undertaken by this “refreshed” Board, we have little confidence that these new directors will stand up to an entrenched management team for the benefit of all shareholders.
- To realize the immense value creation potential that we believe is available at Huntsman, the Company needs strong independent board members who will demand both improved performance and accountability, in order to help drive improved results and shareholder value.

**We believe Huntsman urgently needs strong independent board members who will demand accountability and work to maximize value for ALL shareholders.**

# Change Is Necessary – Protect and Enhance Your Investment by Voting on the BLUE Proxy Card Today

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- Starboard has a 20-year history of driving operational, financial, and strategic turnarounds to unlock value for all shareholders.
- We believe change is needed after a decade of missed expectations and with a Board that has failed to drive a culture of accountability.
- We believe we have a superior slate of director nominees that will drive a culture of accountability.
- Vote on Starboard's BLUE proxy card today.

**VOTE for meaningful change**

**VOTE to allow us to help improve Huntsman  
for the benefit of ALL shareholders**

**VOTE on Starboard's BLUE proxy card today**